



National Payroll Reporting Consortium

PO Box 850 ★ Henrietta, NY 14467-0850 ★ www.NPRC-Inc.org

National Payroll Reporting Consortium (NPRC) Response to the Office of Science and Technology Policy (OSTP) Artificial Intelligence (AI) Action Plan Request for Information

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The National Payroll Reporting Consortium (NPRC) appreciates the opportunity to provide input on the development of the Artificial Intelligence (AI) Action Plan. NPRC is a non-profit trade association representing payroll processing service providers that support approximately 48% of the U.S. workforce. NPRC members provide human capital management (HCM) solutions, including payroll services and software systems that help clients manage their workforces. HCM platforms offer a range of functions, including payroll processing, time-off management, recruitment and hiring, performance reviews, benefits administration, and employee offboarding.

AI presents enormous opportunity for payroll processing firms to provide enhanced tools and applications to their customers. Whether increasing efficiency through automation, identifying errors and ensuring compliance, combatting fraud, or providing innovative services, AI is being used in the HCM space for both small and large businesses and its use is expected to dramatically accelerate. Maintaining a balanced regulatory environment that enables and fosters the growth of AI is essential to the health of our industry and our business clients. To maintain American leadership in AI innovation, federal policies must encourage responsible AI deployment while avoiding rigid approaches that stifle growth.

Executive Summary

Our recommendations align with the principles outlined in the December 2024 Bipartisan House Task Force Report on AI, which supports U.S. leadership in responsible AI innovation while implementing safeguards to mitigate risks. NPRC's comments focus on:

- **AI's role in payroll and workforce management:** AI enhances payroll accuracy, compliance, and efficiency while reducing administrative burdens for businesses of all sizes. AI also plays a critical role in modern HCM by providing real-time guidance and insights that allow employers to make informed workforce management decisions, enhancing employers' ability to attract and retain their workforce.
- **Risk-based approaches to AI governance:** AI frameworks should be proportional to risk and avoid one-size-fits-all mandates.
- **AI accountability and transparency:** Governance frameworks, human oversight, and bias mitigation strategies are essential for fair and reliable AI use.
- **Data integrity, security, and privacy:** Policies should balance strong privacy protections with preserving AI developers' legal access to publicly available data for model training.

- **Expanding small business access to AI:** AI innovation should not be limited to large enterprises; small businesses need resources and assistance to adopt AI effectively.
- **International cooperation & AI leadership:** The U.S. should help drive AI governance globally, harmonizing AI risk frameworks with international partners.
- **Workforce development & job protection:** AI education and training programs should expand to ensure American workers benefit from AI rather than being displaced by it.

AI in Payroll & Workforce Management

AI-driven automation is transforming payroll and workforce management by enhancing:

- **Accuracy & Compliance:** AI enables real-time error detection, fraud prevention, and regulatory compliance.
- **Fair Hiring & Workforce Insights:** AI-powered HR tools with human oversight help mitigate bias, support skills-based hiring, and optimize workforce planning.
- **Efficiency & Cost Reduction:** AI reduces manual administrative burdens while improving payroll processing and benefits administration.

To fully realize AI's potential in workforce management, policies should support responsible AI use while avoiding rigid mandates that could increase operational costs without tangible benefits.

AI Governance: Risk-Based, Reliability-Focused Approaches

NPRC supports a governance framework that is risk-based and transparent. Most payroll AI applications—focused on compliance, tax automation, and HR management—present minimal risks and should be treated differently from high-risk AI uses.

To balance innovation with accountability, NPRC recommends:

- **A Risk-Tiered Approach:** AI oversight should be proportional to its risk level, avoiding one-size-fits-all mandates. Payroll and HR AI systems already adhere to strict legal and regulatory frameworks, including anti-discrimination, privacy, and employment laws. These existing compliance structures should be leveraged rather than layering on unnecessary new requirements.
- **Developer-led risk evaluation:** AI developers should be responsible for assessing foreseeable and material risks in their models while ensuring compliance with anti-discrimination and workforce protection laws. Evaluations should focus on real-world impacts, and AI developers should implement bias detection and mitigation strategies.
- **AI accountability and transparency:** Users should understand how AI operates while protecting proprietary business information. Businesses should, to the extent practicable:
 - Provide transparent AI Governance standards, practices, policies, and processes with non-technical explanations.
 - Implement human oversight measures for AI solutions in payroll and hiring.
 - Establish dispute resolution mechanisms for employees or businesses impacted by AI-driven decisions.
- **Corporate AI governance frameworks:** AI developers and business users should implement formal governance policies, including:
 - Regular AI impact assessments and bias mitigation strategies.
 - Senior leadership oversight to steer compliance and ensure fairness.
- **Avoiding fragmented AI governance:** AI regulations should be harmonized at the federal level to prevent a patchwork of inconsistent state and local laws.

- **Ensuring AI regulation is adaptable and technology-neutral:** Policies should be flexible, iterative, and technology-neutral, applying existing laws rather than imposing unnecessary AI-specific compliance burdens.
- **Ensuring privacy laws remain technology-neutral:** Privacy laws should be applicable across technologies and provide flexibility to adapt to evolving AI innovations.
- **Facilitating access to privacy-enhanced data:** The government should support the development of privacy-enhancing technologies, such as federated learning and synthetic data, to enable AI model training while safeguarding personal information.

Preserving AI Developers' Legal Access to Training Data

NPRC urges policymakers to:

- Ensure AI developers retain legal access to publicly available data to prevent restrictions that limit innovation.
- Support privacy-enhancing technologies to allow AI training while protecting individual privacy.
- Encourage government-facilitated datasets for AI training in workforce applications, payroll automation, and tax compliance.

Expanding Small Business Access to AI & Reducing Compliance Burdens

Small businesses face significant challenges in AI adoption, including high costs, lack of AI expertise, and compliance complexities.

NPRC recommends:

- Providing AI adoption grants & resources to small businesses, including access to AI-ready datasets and cloud-based AI tools.
- Minimizing unnecessary compliance burdens for small businesses to prevent inadvertently limiting competition.
- Developing AI training & support programs to help small businesses integrate AI effectively.
- Investigating resource challenges and providing resources for small businesses, including financial assistance and access to compute power for AI adoption.
- Ensuring AI regulations do not disproportionately burden small businesses to maintain fair market competition.
- Encouraging small business participation in AI R&D programs such as the Small Business Innovation Research (SBIR) and Small Business Technology Transfer (STTR) initiatives.

International AI Engagement & Harmonization of Risk Approaches

NPRC urges the administration to:

- Ensure the U.S. leads efforts to develop and harmonize sensible global AI standards.
- Increase U.S. participation in international AI governance efforts to ensure fair and competitive global AI policies.
- Align AI risk management with key allies to prevent conflicting AI frameworks.

Strengthening Workforce Development & Protecting American Jobs

AI should be a tool for augmenting human work, not replacing it. To ensure AI benefits workers rather

than displacing jobs, NPRC supports:

- AI education & training programs (including certifications, apprenticeships, and AI literacy initiatives) to prepare workers for AI-integrated roles.
- Reskilling programs for workers impacted by AI to transition into AI-supported jobs rather than being left behind.
- Expanding workforce training programs to include technical professionals who may not have traditional four-year degrees.

Conclusion

To maintain American leadership in AI, NPRC urges OSTP to develop policies that support innovation, protect against risks, and enable small business participation in AI adoption. A risk-based, industry-driven approach will promote AI adoption in payroll, tax compliance, and workforce management while ensuring fairness, transparency, and security.

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NPRC appreciates the opportunity to provide this submission in response to the Request for Information. This document is approved for public dissemination. The document contains no business-proprietary or confidential information. Document contents may be reused by the government in developing the AI Action Plan and associated documents without attribution. If we can provide any additional information, please do not hesitate to contact Daniel Lewis, President, at

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